

by David Freedman.

Third Quadrant. Simple payoffs in Extremistan: there is little harm in being wrong, because the possibility of extreme events does not impact the payoffs. Don't worry too much about Black Swans.

Fourth Quadrant, the Black Swan Domain. Complex payoffs in Extremistan: that is where the problem resides; opportunities are present too. We need to avoid prediction of remote payoffs, though not necessarily ordinary ones. Payoffs from remote parts of the distribution are more difficult to predict than those from closer parts.*

Actually, the Fourth Quadrant has two parts: exposures to positive or negative Black Swans. I will focus here on the negative one (exploiting the positive one is too obvious, and has been discussed in the story of Apelles the painter, in [Chapter 13](#)).

TABLE 2: THE FOUR QUADRANTS

	I Simple Payoffs	II Complex Payoffs
A Mediocristan	First Quadrant <i>Extremely Safe</i>	Second Quadrant <i>(Sort of) Safe</i>
B Extremistan	Third Quadrant <i>Safe</i>	Fourth Quadrant <i>Black Swan Domain</i>

The recommendation is to move from the Fourth Quadrant into the third one. It is not possible to change the distribution; it is possible to change the exposure, as will be discussed in the next section.

What I can rapidly say about the Fourth Quadrant is that all the skepticism associated with the Black Swan problem should be focused